Topics for Exam 3

In addition to old topics (exam is cumulative)

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Chapter 7: Monopoly Price Discrimination

- First Degree (Perfect) Price Discrimination
- Profits
- Welfare Consequences
- Second Degree Price Discrimination
    - Examples: Block Pricing
- Third Degree (elasticity and price)
- Examples
- Profits
- Welfare Consequences (total surplus with different price discrimination schemes)
- Intertemporal and Peak Load Pricing
    - Examples / Distinctions
- Two-Part Tariff (access fee and usage fee)
    - Examples
    - Implementation
    - Profits
    - Welfare Consequences
- Bundling and Tying
    - Examples
- Comparing and contrasting different pricing schemes
    - Profits
    - Total Surplus (social welfare)
    - Deadweight Loss

Ch. 5– Taxes

- Taxes
    - Effect on the Market of a per unit tax
        - New Equilibrium (Q', Pd, Ps)
    - Tax Revenue
    - Welfare consequences
    - Incidence of the Tax
        - Depends on the relative elasticities of supply and demand.
- Subsidies
    - Effect on the Market of a per unit subsidy
        - New Equilibrium (Q', Pd, Ps)
    - Subsidy Cost
    - Welfare consequences
    - Incidence of the Subsidy
        - Depends on the relative elasticities of supply and demand.

Chapter 13: Externalities and Public Goods

- Negative Externalities
- Production (or consumption) imposes a cost on people other than consumers or producers.
- Socially Optimal Outcome (MSC = MB)
    - MSC = Supply + MEC
- Market Equilibrium: underestimates the cost of the product
    - $Q_{market} > Q_{so}$
    - DWL = ½·MEC(Q_m)· (Q_m-Q_{so})
- Solutions
    - Tax = MEC(Q_{so})
    - Emission Fees Vs. Standards
    - Tradable Permits (Cap and Trade)
- Positive Externalities
- Production (or consumption) confers a benefit to people other than consumers or producers.
- Socially Optimal Outcome (MSB = MC)
- MSB = Demand + MEB
- Market Equilibrium: underestimates the benefit of the product
    - $Q_{market} < Q_{so}$
    - DWL = ½·MEB(Q_m)· (Q_{so}-Q_m)
- Solutions:
    - subsidy = MEB(Q_{so})
    - government provision = Q_{so}
- Rivalry and Excludability
    - Rival: One person's consumption prevents others from consuming the good or diminishes the overall resource. Marginal cost of provision is at or close to zero.
    - Excludable: It is possible to prevent people (non-payers) from consuming the good.
- Public Goods (non-excludable, non-rival)
- Examples
- Free-Rider Problem: Individuals have an incentive to free ride (not contribute), which will lead to under-provision of public goods.
- Common resources (non-excludable, rival)
- Examples
- Tragedy of the commons

READINGS

1. Outsourcing Carbon